

# Payroll Management 1

## Overall Workflow Diagram

[Phase 1: Master Setup] —> [Phase 2: Salary Structure & Bulk Assignment] —> [Phase 3: Additional Salary & Adjustments]

[Phase 6: Accounting & Bank Payout] <— [Phase 5: Run Standard Payroll] <— [Phase 4: Timesheets & Slip Preview]

## Phase 1: One-Time Master Configuration

Before generating salary slips, you must configure earnings, statutory deductions, and employee loan parameters.

### 1. Create Salary Components

1. Go to **HR > Payroll > Salary Component**.
2. Click **New** to create each earning and deduction type:
  - **Earnings:** Basic Salary, House Rent Allowance (HRA), Site Travel Allowance, Overtime, Production Bonus.
  - **Deductions:** Provident Fund (PF), Employee State Insurance (ESI), Professional Tax (PT), TDS (Income Tax).
3. For each component, select the **Type** (Earning or Deduction) and link its corresponding **General Ledger Account** (e.g., link PF to the *PF Payable Account*).

The screenshot displays the '2023-2024: With PF' configuration page. The 'Earnings' table lists three components: Basic, House Rent Allowance (HRA), and Special Allowance. The 'Deductions' table lists four components: Professional Tax, Provident Fund, TDS, and Education C. A 'Condition and formula' dialog is open, showing a condition 'gender == "Female"' and a formula 'base \* 0.4'.

| No. | Component *          | Abbr | Amount (INR) | Depends on...                       | Is Tax Appli...                     | Amount bas...                       | Formula    |
|-----|----------------------|------|--------------|-------------------------------------|-------------------------------------|-------------------------------------|------------|
| 1   | Basic                | B    | ₹ 0.00       | <input checked="" type="checkbox"/> | <input checked="" type="checkbox"/> | <input checked="" type="checkbox"/> | base * 0.4 |
| 2   | House Rent Allowance | HRA  | ₹ 0.00       | <input type="checkbox"/>            | <input checked="" type="checkbox"/> | <input checked="" type="checkbox"/> | B / 2      |
| 3   | Special Allowance    | SA   | ₹ 0.00       | <input checked="" type="checkbox"/> | <input checked="" type="checkbox"/> | <input checked="" type="checkbox"/> | base * 0.4 |

| No. | Component *      | Abbr | Amount (INR) | Depends on...            | Is Tax Appli...          | Amount bas...                       | Formula                          |
|-----|------------------|------|--------------|--------------------------|--------------------------|-------------------------------------|----------------------------------|
| 1   | Professional Tax | PT   | ₹ 0.00       | <input type="checkbox"/> | <input type="checkbox"/> | <input checked="" type="checkbox"/> | 300 if getdate(start_date).month |
| 2   | Provident Fund   | PF   | ₹ 1,800.00   | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/>            |                                  |
| 3   | TDS              |      |              |                          |                          |                                     |                                  |
| 4   | Education C      |      |              |                          |                          |                                     |                                  |

Condition and formula

1. gender == "Female"

Amount based on formula

Formula

1. base \* 0.4

# Payroll Management 2

## 2. Setup Employee Loans (Frappe Lending Integration)

1. Go to **HR > Loan > Employee Loan** to log company advances or personal loans.
2. Enable **Deduct Repayment via Salary**. The system will automatically calculate and deduct monthly loan EMIs during every payroll cycle.

## Phase 2: Salary Structure & Bulk Assignment

### 1. Create Rule-Based Salary Structures

1. Go to **HR > Payroll > Salary Structure**  $\rightarrow$  Click **New**.
2. Enter a structure title (e.g., **Plant Labor Structure** or **Site Engineer Structure**) and set the payment **Frequency** (**Monthly**, **Fortnightly**, or **Weekly**).
3. **Define Formulas:**
  - o **Basic Salary:**  $\text{base} * 0.50$  (50% of Total CTC)
  - o **HRA:**  $\text{basic} * 0.40$
  - o **Provident Fund (PF):**  $\text{basic} * 0.12$  (Statutory deduction rule)
4. Click **Save & Submit**.

### 2. Bulk Assignment & Cost Center Splitting

1. Open the **Salary Structure Assignment Tool**.
2. Use filters (Department, Designation, or Branch) to select employee groups.
3. Enter the **Base CTC Amount** and **Effective From Date**.
4. **Multi-Cost Center Allocation:** If an employee works across multiple units (e.g., *50% Chakan Manufacturing Plant* and *50% Site Alpha Erection*), split their salary expenses across multiple cost centers in the assignment table.
5. Click **Assign in Bulk**.

## Phase 3: Additional Salary & Off-Cycle Adjustments

Manage ad-hoc incentives, pay cuts, or site bonuses without changing the employee's base salary structure.

1. Go to **HR > Payroll > Additional Salary**  $\rightarrow$  Click **New**.
2. Select the **Employee Name**, **Salary Component** (e.g., *Performance Bonus* or *Site Arrears*), and enter the **Amount**.

# Payroll Management 3

3. Set the **Payroll Date** to specify the exact month this payment or deduction should take effect.

Payroll > Additional Salary > HR-ADS-24-07-00001

Search or type a command (⌘ + G)

Help

Rucha Mahabal

Submitted

Assigned To

Attachments

Reviews

Tags

Share

0

0 FOLLOW

You last edited this · just now

You created this · just now

Employee \*

HR-EMP-00001: Rucha Mahabal

Employee Name

Rucha Mahabal

Department

Research & Development

Company \*

Frappe

Is Recurring

☐

Payroll Date \*

30-06-2024

The date on which Salary Component with Amount will contribute for Earnings/Deduction in Salary Slip.

Salary

Salary Component \*

Performance Bonus

Salary Component Type

Earning

Currency \*

INR

Amount \*

₹ 1,00,000.00

☒ Deduct Full Tax on Selected Payroll Date

☒ Overwrite Salary Structure Amount

Earnings

| <input type="checkbox"/> Component *          | Amount (INR)  |  |
|-----------------------------------------------|---------------|--|
| <input type="checkbox"/> Basic                | ₹ 40,000.00   |  |
| <input type="checkbox"/> House Rent Allowance | ₹ 20,000.00   |  |
| <input type="checkbox"/> Special Allowance    | ₹ 40,000.00   |  |
| <input type="checkbox"/> Performance Bonus    | ₹ 1,00,000.00 |  |

# Payroll Management 4

4. Toggle whether tax should be applied to this specific component and click **Submit**.

The screenshot displays the Frappe Payroll Management interface. The top navigation bar shows the path: Payroll > Additional Salary > HR-ADS-24-07-00001. The main header includes the employee name 'Rucha Mahabal' and a 'Submitted' status. A sidebar on the left contains links for 'Assigned To', 'Attachments', 'Reviews', 'Tags', and 'Share'. The main form area is divided into several sections:

- Employee Information:** Includes fields for Employee (HR-EMP-00001: Rucha Mahabal), Employee Name (Rucha Mahabal), Department (Research & Development), and Company (Frappe).
- Payroll Details:** Includes 'Is Recurring' (unchecked), 'Payroll Date' (30-06-2024), and a description: 'The date on which Salary Component with Amount will contribute for Earnings/Deduction in Salary Slip.'
- Salary Section:** Includes 'Salary Component' (Performance Bonus), 'Salary Component Type' (Earning), 'Currency' (INR), and 'Amount' (₹ 1,00,000.00).
- Tax and Structure Options:** Includes checkboxes for 'Deduct Full Tax on Selected Payroll Date' (checked) and 'Overwrite Salary Structure Amount' (checked).
- Earnings Table:** A table showing the breakdown of earnings for the selected component.

| Component            | Amount (INR)  |
|----------------------|---------------|
| Basic                | ₹ 40,000.00   |
| House Rent Allowance | ₹ 20,000.00   |
| Special Allowance    | ₹ 40,000.00   |
| Performance Bonus    | ₹ 1,00,000.00 |

## Phase 4: Timesheet Processing & Salary Slip Preview

### 1. Timesheet-Based Payroll (For Site / Contract Workers)

1. Ensure project engineers or site labor log their daily project hours under **Projects > Timesheet**.
2. When creating their salary structure, check **Is Timesheet Required**.
3. During payroll run, enable **Salary Based On Timesheet** to auto-calculate payouts based on billable hours.

# Payroll Management 5

Projects > Timesheet > TS-2023-00005

Search or type a command (⌘ + G)

Help

Rucha Mahabal Payslip

< > ⌂ ... Cancel

Employee

HR-EMP-00001: Rucha Mahabal

Start Date

06-10-2023

Employee Name

Rucha Mahabal

End Date

08-11-2023

Department

Research & Development

Time Sheets

| <input type="checkbox"/> | No. | Activity Type | From Time           | Hrs  | Project        | Is Billable                         | Billing Hours | ⚙ |
|--------------------------|-----|---------------|---------------------|------|----------------|-------------------------------------|---------------|---|
| <input type="checkbox"/> | 1   | Communication | 06-10-2023 09:00:00 | 1    | PROJ-0001: v16 | <input checked="" type="checkbox"/> | 1             | ⌵ |
| <input type="checkbox"/> | 2   | Execution     | 12-10-2023 18:31:13 | 5    | PROJ-0001: v16 | <input checked="" type="checkbox"/> | 5             | ⌵ |
| <input type="checkbox"/> | 3   | Communication | 13-10-2023 12:43:33 | 0.50 | PROJ-0001: v16 | <input checked="" type="checkbox"/> | 0.50          | ⌵ |
| <input type="checkbox"/> | 4   | Research      |                     |      |                |                                     |               |   |
| <input type="checkbox"/> | 5   | Communication |                     |      |                |                                     |               |   |
| <input type="checkbox"/> | 6   | Communication |                     |      |                |                                     |               |   |

Details

Payment Days

Earnings & Deductions

Net Pay Info

Income Tax Breakup

Leaves

Timesheet Details

Salary Slip Timesheet

|                          |               |               |   |                     |            |
|--------------------------|---------------|---------------|---|---------------------|------------|
| <input type="checkbox"/> | Time Sheet *  | Working Ho... | ⚙ | Total Working Hours | 24.50      |
| <input type="checkbox"/> | TS-2023-00005 | 24.50         | ⌵ | Hour Rate (INR)     | ₹ 2,000.00 |

## 2. Preview Salary Slips (Quality Audit)

1. Before running company-wide payroll, go to **HR > Payroll > Salary Slip**.
2. Generate a draft preview for 1–2 test employees from different departments.

# Payroll Management 6

3. Verify actual working days, attendance deductions, overtime, PF/PT calculations, and additional bonuses.

The screenshot shows the 'Preview for HR-EMP-00003' in the Frappe system. It is a 'DRAFT' payroll entry. The employee is Robert House, starting on 01-07-2024 and ending on 31-07-2024. The company is Frappe, with 31 working days and 31 payment days. Below this, there are two tables: one for components to be added (Basic, House Rent Allowance, Special Allowance) and one for deductions (Professional Tax, Provident Fund, Education Cess, TDS). The totals show a Gross Pay of ₹ 50,000.00, Total Deduction of ₹ 2,000.00, and a Net Pay of ₹ 48,000.00.

| Sr | Component            | Amount      |
|----|----------------------|-------------|
| 1  | Basic                | ₹ 20,000.00 |
| 2  | House Rent Allowance | ₹ 10,000.00 |
| 3  | Special Allowance    | ₹ 20,000.00 |

| Sr | Component        | Amount     |
|----|------------------|------------|
| 1  | Professional Tax | ₹ 200.00   |
| 2  | Provident Fund   | ₹ 1,800.00 |
| 3  | Education Cess   | ₹ 0.00     |
| 4  | TDS              | ₹ 0.00     |

Gross Pay: ₹ 50,000.00  
Total Deduction: ₹ 2,000.00  
Net Pay: ₹ 48,000.00

## Phase 5: Running Standard Payroll

Process monthly salaries for the entire company or specific departments in minutes:

1. Go to **HR > Payroll > Payroll Entry** → Click **New**.
2. Set the **Posting Date**, **Payroll Frequency** (**Monthly**), and date range (e.g., **01-09-2026** to **30-09-2026**).
3. Click **Get Employees**. The system automatically pulls eligible employees and evaluates attendance, biometric logs, leaves, and timesheets.
4. Click **Create Salary Slips**. The system creates draft salary slips for all selected employees.
5. Review the totals. If everything is accurate, click **Submit Salary Slips**.

## Phase 6: Accounting Integration & Bank Payout

### 1. Book Salary Expenses (Accrual Entry)

1. Inside the submitted **Payroll Entry**, click **Book Expense / Make Bank Entry**.
2. ERPNext automatically posts a Journal Entry to your General Ledger:  
\$\$\$ \text{Debit: Salary Expense Accounts (Categorized by Cost Centers)} \$\$\$  
\$\$\$ \text{Credit: Net Payable \& Statutory Payable Accounts (PF, PT, TDS)} \$\$\$

# Payroll Management 7

The screenshot displays the 'Salary Structure Assignment' form in ERPNext. The breadcrumb trail is 'Payroll > Salary Structure Assignment > HR-SSA-24-07-00001'. The form is for employee 'Agatha' and is in 'Submitted' status. Key fields include 'From Date' (01-04-2024), 'Payroll Payable Account' (Payroll Payable - F), 'Income Tax Slab' (New Tax Regime: 2023-2024), and 'Currency' (INR). The 'Base & Variable' section shows a base salary of ₹ 50,000.00 and a variable salary of ₹ 0.00. The 'Payroll Cost Centers' section lists two cost centers: 'Engineering - F' (70%) and 'Support - F' (30%). An 'Accounting Entries' table is shown at the bottom, detailing the debit and credit for the salary payment.

| No. | Account *           | Party        | Debit       | Credit      | Cost Center     |
|-----|---------------------|--------------|-------------|-------------|-----------------|
| 1   | HDFC - F            |              | ₹ 0.00      | ₹ 48,000.00 | Main - F        |
| 2   | Payroll Payable - F | HR-EMP-00005 | ₹ 33,600.00 | ₹ 0.00      | Engineering - F |
| 3   | Payroll Payable - F | HR-EMP-00005 | ₹ 14,400.00 | ₹ 0.00      | Support - F     |

## 2. Bank Payout Execution

1. Click **Make Bank Entry** and select your company's corporate bank account.
2. Generate the **Bank Remittance File** (CSV/Excel format required by your bank for bulk NEFT transfers) and upload it directly to your bank portal.

## 3. Send Password-Protected Payslips

1. Click **Send Salary Slips via Email** inside the Payroll Entry.
2. ERPNext sends password-protected PDF payslips directly to all employees.